SILOED APPROACH

While GST is a completely digital system, the scrutiny and resolution processes are offline. CA Rajat Mohan points out a glaring issue: "Take the example of Gameskraft, which received a GST notice worth Rs 20,000 crore, or Zomato, which was slapped with a demand for Rs 803 crore in outstanding tax. Even to file an appeal, the company must first deposit 10 per cent of the demand with the government. No entrepreneur has that kind of cash just lying in the bank," he says. What's more, any notice above Rs 5 crore carries the risk of compulsory arrest. "Big corporates can hire top lawyers and fight it out in court. But even mid-size firms don't have that kind of bandwidth or deep pockets to manage prolonged litigation," he adds.

Adding to the complexity is the fact that there are state and central GST departments. And within each, there are different wings such as the jurisdictional office, the anti-evasion wing and the audit team; they do their scrutiny independently and send notices. "Each vertical follows its own set of parameters, which are not aligned with one another. As a result, businesses often find themselves being assessed by multiple GST departments from the Centre or state or both simultaneously for the same issue," says CA Kush Vora. Take a recent case in the Delhi High Court: in Dinesh Kumar Varma vs Sales Tax Officer, Class II AVATO, Varma received two orders (December 17 and December 25, 2023), both demanding a tax liability of Rs 15,53,240, and pertaining to the same tax period—July 2017 to March 2018. What is ironic is that two different officers within the same jurisdictional office had raised it.

"Of the 100 companies we handle each year, we've dealt with approximately 350 GST notices over the past 3-4 years on their behalf. As a result, our salary costs have risen by 50-70 per cent in the past three years, primarily due to the workload from GST notices," says Vora. Naturally, this increase has been passed on to the MSMEs—Vora's firm has raised its retainer fees for GST clients by 30 per cent.

Several MSMEs confirm that while audits and raids conducted by the CGST department are generally done after due diligence, the same cannot be said of SGST departments, where harassment remains common. A company in Uttar Pradesh is currently fighting a case, in which 7-8 officials from the SGST department arrived at its factory, demanding Rs 2 crore in GST liability—without providing any explanation—and even threatening with an FIR and arrest. "Thankfully, our GST consultant knew the law and clarified that an FIR cannot be registered for a GST notice involving less than Rs 5 crore," says the owner on condition of anonymity. However, the ordeal didn't end here; they threatened to seal the factory. "It was pure extortion. We had no choice but to comply," he says. At 3 am, the company deposited Rs 75 lakh with the department just to keep the factory operational. "While raids are intended to curb evasion, often they are conducted solely based on preliminary findings. Also, the way they are carried out equates business owners with criminals, which can severely damage a company's reputation and business," he rues.

"There is too much rigidity, which makes it difficult for non-tech entrepreneurs to navigate the GST returns independently, resulting in the increased cost of professional services for the firm.... Good law with poor implementation"

B.C. BHARTIA
President, Confederation of All India Traders

THE ORDEAL OF AUDITS

The GST audit period can extend up to 5-6 years after the end of the financial year. That's a very long window—accountants change, staff changes and memories fade, says Chhabra. In contrast, he points out customs cases cannot be reopened after three years. Similarly, for taxpayers with annual incomes under Rs 50 lakh, the audit window is limited to three years. "So, why not apply a similar rule here?" he asks. CBIC's compliance management department didn't respond to INDIA TODAY's queries on raids and show-cause notices. Chhabra suggests that the government consider reducing the audit period gradually to four, then to one. "In today's age of AI and automation, discrepancies can be flagged in real time. There's no need to leave files open for years—it only leaves room for harassment," he adds.

Running a business and keeping it profitable in these uncertain times is no mean feat. Despite this, businesses have to constantly fight the system to prove that "entrepreneur *chor nahin hai*". Sitharaman has reiterated that the government is working towards creating a trust-based compliance system for businesses. But, as Patel says, "The government should be supporting entrepreneurs, not policing them. We need a system that helps improve productivity and clarity—not one that constantly looks for where we went wrong." The FM needs to heed their plea. ■